

I already mentioned the various hot industries where sizzle led to fizzle. Mobile homes, digital watches, and health maintenance organizations were all hot industries where fervent expectations put a fog on the arithmetic. Just when the analysts predict double-digit growth rates forever, the industry goes into a decline.

If you had to live off the profits from investing in the hottest stocks in each successive hot industry, soon you'd be on welfare.

There couldn't have been a hotter industry than carpets. As I was growing up, every housewife in America wanted wall-to-wall carpeting. Somebody invented a new tufting process that drastically reduced the amount of fiber that went into a rug, and somebody else automated the looms, and the prices dropped from \$28 a yard to \$4 a yard. The newly affordable rugs were laid down in schools, offices, airports, and in millions of tract houses in all the nation's suburbs.

Wood floors were once cheaper than carpets, but now carpets were cheaper, so the upper classes switched from carpets to wood floors and the masses switched from wood floors to carpets. Carpet sales rose dramatically, and the five or six major producers were earning more money than they knew how to spend, and growing at an astonishing pace. That's when the analysts started telling the stockbrokers that the carpet boom would last forever, and the brokers told their clients, and the clients bought the carpet stocks. At the same time, the five or six major producers were joined by two hundred new competitors, and they all fought for customers by dropping their prices, and nobody made another dime in the carpet business.

High growth and hot industries attract a very smart crowd that wants to get into the business. Entrepreneurs and venture capitalists stay awake nights trying to figure out how to get into the act as quickly as possible. If you have a can't-fail idea but no way of protecting it with a patent or a niche, as soon as you succeed, you'll be warding off the imitators. In business, imitation is the sincerest form of battery.

Remember what happened to disk drives? The experts said that this exciting industry would grow at 52 percent a year—and they were right, it did. But with thirty or thirty-five rival companies scrambling on the action, there were no profits.

Remember oil services? All you had to say was "oil" on a prospectus and people bought the stocks, even if the closest they ever got to oil services was having the gashop check under the hood.

In 1981, I attended a dinner at an energy conference in Colorado where Tom Brown was the featured speaker. Tom Brown was the principal owner and CEO of Tom Brown, Inc., a popular oil-service company that was selling for \$50 a share at the time. Mr. Brown mentioned that an acquaintance of his had bragged